

Calderwood Partners LLC

www.calderwoodpartners.com

June 12, 2009

Barbara Ward

Director of Operations

Garza, Leblanc and Porter

Re: Engagement to develop a pricing strategy

Dear Ms. Ward:

This letter confirms that we will work with Garza, Leblanc and Porter on its pricing, and it sets down the terms of that work: what we will do, who will do it, the fee, and the conditions we hold ourselves to. I have kept it plain. If a term here does not match our discussions, telephone me before you sign, and we will correct it.

What We Will Do

The subject is why the prices you set on paper are not the prices you collect, and what to do about it. The work does four things. First, we measure your price realization: the true gap between list and collected price once discounts, rebates, freight, and terms are counted. Second, we map margin across your products and your accounts, so the places you earn and the places you give money back are visible instead of assumed. Third, we document how prices are set today, who may discount, and how far that authority runs before anyone reviews it. Fourth, we hand you a pricing approach you can operate: the structure of the list, the rules on discounting, and the order in which to make the changes.

Four things sit outside this work, and I will name them so our expectations match from the start. We do not audit your books or opine on your statements. We do not give legal or tax advice; where a question turns on either, we flag it and send you to your counsel. We do not approach your customers or renegotiate their contracts. And we do not choose or install software; where the work reaches a systems question, we frame it and stop.

How We Work

We work from your own numbers, not from rules of thumb, and every figure in a deliverable ties back to a workpaper we can produce on request. We keep findings and recommendations apart, and label each, because they do not carry the same weight and should not be read as though they did. And we bring you

interim results as they harden, so that nothing in the final material arrives as a surprise to you or your people.

Who Will Do the Work

Brenda Rodriguez, Senior Consultant, runs the engagement day to day and is your contact on anything of substance. She builds the realization and margin analysis the recommendations stand on. Deborah Gordon, Associate, *turns that analysis into the findings and the written material you receive.* Mary Parker, Research Associate, assembles the underlying data and keeps the record of what we were given and by whom. I read everything before it leaves this office. On your side, we will treat you, Barbara Ward, as our point of contact for scheduling, data, and any decision the work requires, unless you name someone else.

What We Ask of You

The work depends on timely access to your pricing, invoice, and rebate records, and to the people who set prices day to day. We will send one consolidated data request at the start and keep a log of what is outstanding, and we ask that requests to your staff route through your office so that nobody is asked twice for the same file. Some of what we need touches commercial terms with named customers; tell us where a restriction applies and we will observe it.

Fee and Start

Our fee to Garza, Leblanc and Porter is \$107,000, fixed for the scope above. We begin on June 22, 2009 and expect about seven months from that point to the final recommendations. If you ask us to widen the scope, we price the addition in writing and do not start it until you have agreed the price. We prefer a fixed fee here so that your people can work with us without watching a clock.

Billing

We invoice the fixed fee in equal monthly installments across the term, each due within thirty days of its date. Out-of-pocket costs, chiefly travel to your sites, are billed at cost and itemized on the invoice. We do not mark them up.

Term and Ending the Engagement

The engagement runs from the start date above until we deliver the final recommendations, unless one of us ends it sooner. Either party may terminate on fifteen days' written notice, for any reason or none. On termination you owe the fee for work done to the effective date, prorated against the fixed fee, together with expenses incurred, and we hand over our work in whatever state it has then reached.

Handling Your Information

Pricing is among the most sensitive information a company holds, and we treat it that way. We will use what you give us only for this engagement and disclose it outside our firm only as you direct in writing or

as the law requires. We ask the same of you regarding our methods, our workpapers, and the fee arrangement recorded in this letter.

Limits on Our Liability

Our total liability arising out of this engagement, whether framed in contract, in tort, or on any other basis, is limited to the fees actually paid to us under it. Neither party will be liable to the other for indirect or *consequential loss, including lost profits, however it arises. This limit does not reach our own fraud or willful misconduct.* Our deliverables are prepared for your internal use; if you intend to give one to a third party who may rely on it, raise it with me first so we can address the reliance in writing.

Governing Law and Disputes

This letter is governed by the law of the state in which our principal office sits, without regard to its conflict of laws rules. Any dispute we cannot settle between us will go to mediation before either party begins litigation.

If these terms suit you, please sign both copies of this letter and return one to me; the other is yours to keep. We are glad to take on this work for Garza, Leblanc and Porter, and Brenda Rodriguez will be ready to begin on the start date set out above.

Sincerely,

Julie Ramsey

Managing Principal

Date: June 12, 2009

Barbara Ward

Director of Operations, Garza, Leblanc and Porter

Date: June 12, 2009